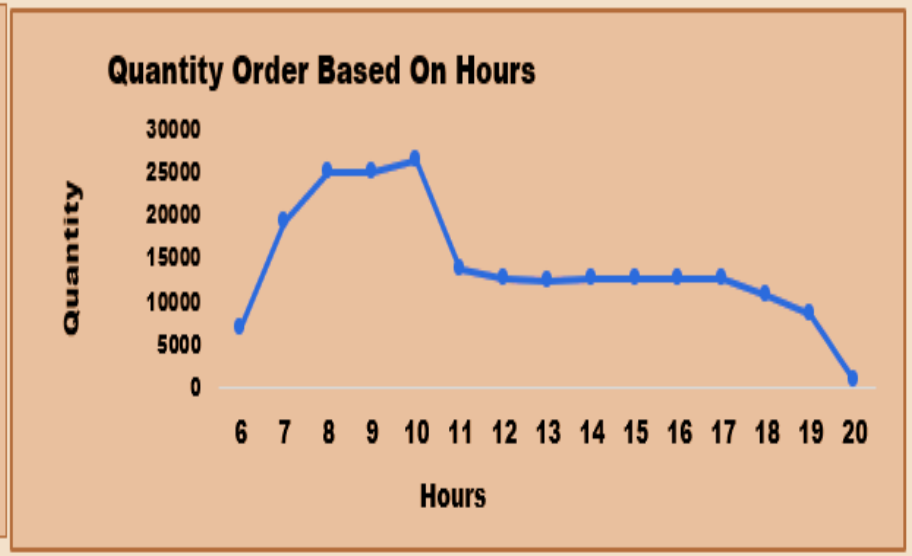
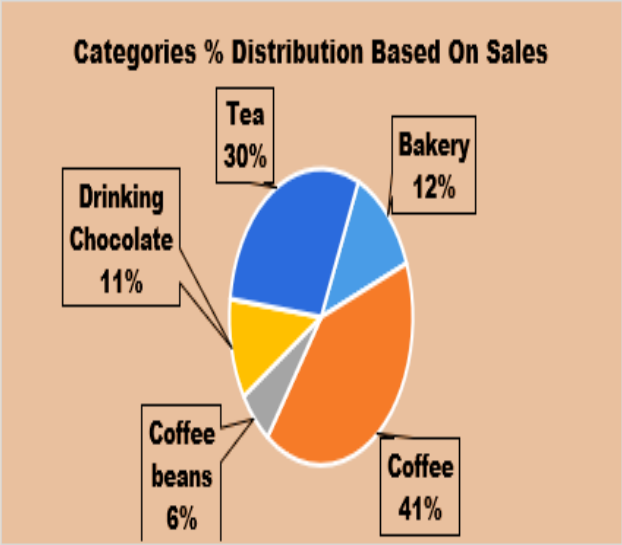
COFFE SHOP SALES

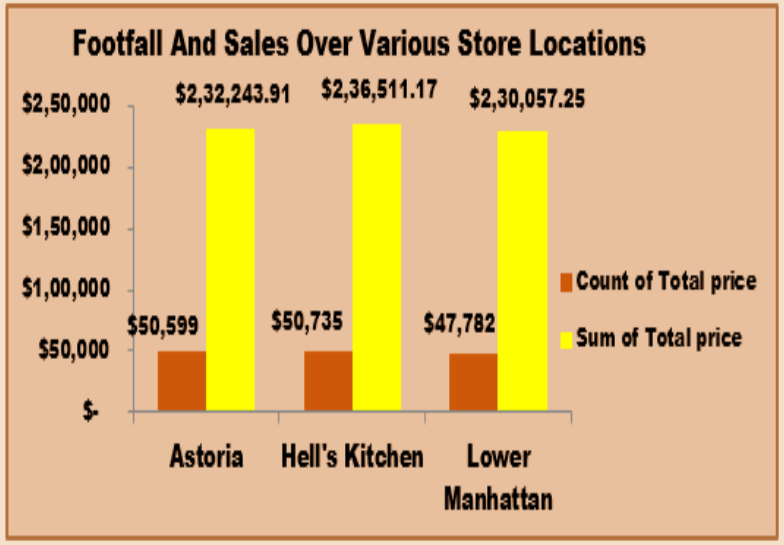
TOTAL SALES	TOTAL FOOTFALL	AVG BILL/PERSON	AVG ORDER PERSON
$6,98,812.33	149116	4.69	1.44

Month Name

- January
- February
- March
- April
- May
- June

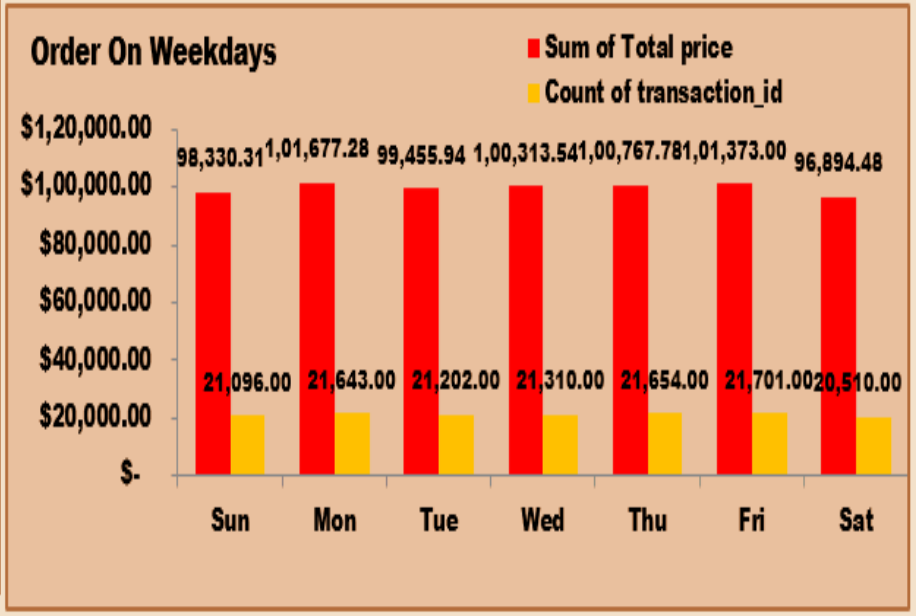


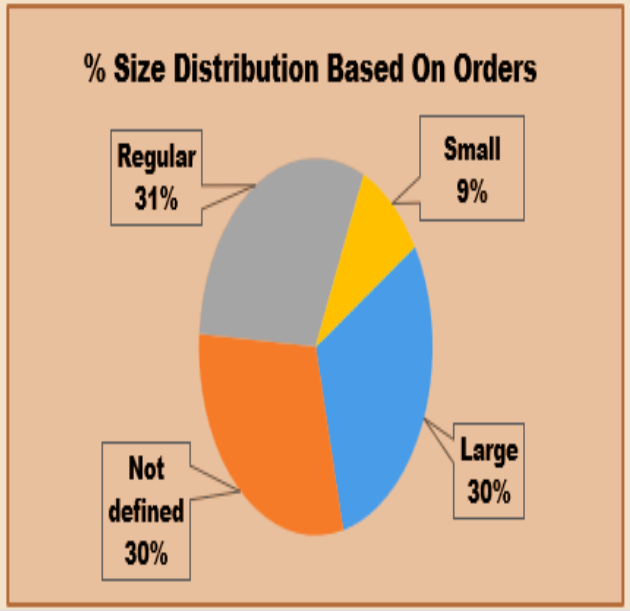


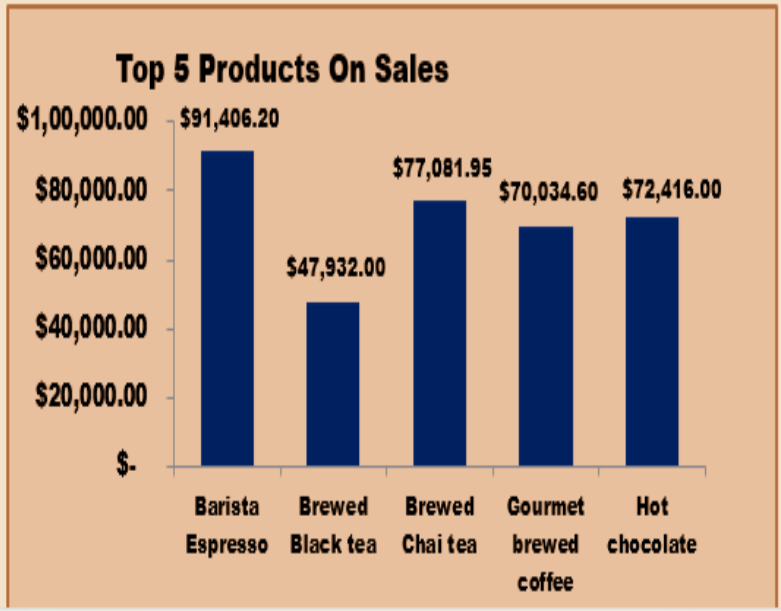


Day Name

- Sunday
- Monday
- Tuesday
- Wednesday
- Thursday
- Friday
- Saturday







Coffee Shop Sales Performance Analysis

1. Business Context And Problem Understanding

A multi-location coffee shop chain was experiencing stagnant revenue growth and uneven sales performance across store locations. Management wanted to leverage data-driven insights to improve revenue, customer footfall, and overall operational efficiency.

2. Identifying Stakeholders

- **Business Owner / Management** – Focused on revenue growth and profitability
- **Store Managers** – Responsible for day-to-day operations, staff scheduling, and inventory
- **Sales / Operations Team** – Handles order processing and billing
- **Marketing Team** – Plans promotions and customer engagement strategies
- **Customers** – Their preferences and purchasing behaviour directly impact sales

Requirement Gathering – Stakeholder Insights(Using 5W1H, Interviews, Surveys, Brainstorming)

1. Business Owner
What: Sales growth is stagnant and customer engagement is low
When: Mostly during non-busy hours
Where: Performance varies across store locations
Who: Business owners and store managers are most impacted
Why: Limited visibility of offers and lack of data-driven decisions
How: Analyse store-wise, product-wise, and time-based sales data

2. Store Manager
What: Low sales impacting overall store performance
When: During slow hours after morning peak
Where: Certain low-performing store locations
Who: Store revenue and staff productivity are affected
Why: Customers spend less during non-peak hours
How: Analyze store-wise and product-wise sales trends

3. Sales / Operations Team
What: Low average order value during slow hours
When: Afternoon and evening non-peak periods
Where: Low-footfall store locations
Who: Store revenue and staff utilisation
Why: Small order sizes and reduced customer flow
How: Analyse location-based and product-based order patterns

4. Marketing Team
What: Low customer engagement during non-peak periods
When: Mostly outside peak morning hours
Where: Low-footfall locations
Who: Business revenue
Why: Lack of targeted, time-based promotional offers
How: Analyze customer engagement by time slots and locations

5. Customers
What: Lack of attractive offers or incentives to purchase more
When: During non-peak hours, such as afternoons and evenings
Where: Less lively and low-footfall stores
Who: Business revenue is most affected
Why: No compelling reasons to increase spending
How: Introduce targeted offers and bundled deals

SWOT Analysis

1. Strengths

- Strong morning sales performance
- High contribution from the Coffee and Tea categories
- Strong performance from Hell's Kitchen and Astoria Store locations
- Consistent weekday sales
- High demand for Regular and large-sized orders

2. Weaknesses

- Decline in orders after 10:00 AM
- Low sales from the Bakery, Drinking Chocolate, and Coffee Beans categories
- Underperformance of the Lower Manhattan store
- Weak weekend sales
- Low contribution from small-sized orders

3. Opportunities

- Customer preference for coffee and beverages during mornings and evenings
- Coffee shops are used for meetings, social gatherings, and professional interactions

4. Threats

- High competition offering aggressive discounts and digital-first experiences

Root Cause Analysis (5 Whys)

- Orders decline after 10:00 AM due to a lack of non-peak hour incentives
- Low bakery and drinking chocolate sales due to lower customer preference and minimal promotions
- Lower Manhattan underperformance due to strong competition
- Weak weekend sales due to reduced office and college footfall
- Lower demand for brewed black tea due to niche customer preference

Gap Analysis

Current State

- Declining non-peak hour sales
- Underperforming product categories and store locations
- Low weekend sales

Desired Future State

- Improved non-peak hour order volume
- Increased sales in underperforming categories and locations
- Higher weekend engagement and revenue

Business Requirements Document (BRD)

- Increase order volume after 10:00 AM by **15% within 3 months**
- Increase sales of Bakery, Drinking Chocolate, and Coffee Beans by **20% within 3 months**
- Increase sales at the Lower Manhattan location by **25% within 3 months**
- Increase weekend sales by **20% within 3 months**
- Increase Brewed Black Tea sales by **15% within 3 months**

Functional Requirements Document (FRD)

- The system shall display **time-based discounts** and **coupons** at the **billing counter during non-peak hours (post 10:00 AM) on customer-facing display screens**
- The system shall automatically apply **eligible discounts and reflect them on the final invoice**
- The system shall display **weekend combo offers on customer-facing display screens**
- The system shall promote a **Brewed Black Tea + Coffee combo with a 10% discount on customer-facing display screens**

User Stories

- **As a customer**, I want to receive discounts during non-peak hours so that I am encouraged to place more orders
- **As a customer**, I want combo offers so that I get better value and try more products

User Acceptance Testing (UAT)

- Verify discounts are displayed during non-peak hours on customer-facing display screens
- Verify that discounts are correctly applied to final invoices
- Verify weekend combo offers are visible on customer-facing display screens
- Verify Brewed Black Tea combo discounts are correctly displayed and applied on the customer-facing display screens

Recommended Solutions

- Introduce targeted **non-peak hour discounts**
- Implement **automatic discount application on billing**
- Launch **weekend combo offers**
- Promote underperforming products through **bundled pricing**

Expected Outcomes

- Increased non-peak hour order volume
- Improved sales at underperforming store locations
- Higher weekend sales
- Increased sales of Brewed Black Tea and other low-performing categories
- Overall improvement in total sales and customer footfall